Anti-Money Laundering and Know Your Customer Policy

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1. Purpose

This policy establishes the controls Cobalt Ridge Financial uses to comply with the Bank Secrecy Act, USA PATRIOT Act and OFAC sanctions requirements, and to detect and report money laundering and terrorist financing.

2. Customer Identification Program (CIP)

2.1 Before opening an account, staff must collect at minimum the customer's full legal name, date of birth, residential address and an identification number (a taxpayer identification number for US persons).

2.2 Identity must be verified through documentary methods (an unexpired government-issued photo ID) or non-documentary methods (such as a consumer reporting agency check) within 5 business days of account opening.

2.3 Accounts for which identity cannot be verified within that period must be restricted and then closed.

3. Customer Due Diligence and Beneficial Ownership

3.1 For legal entity customers, staff must identify each individual who owns 25 percent or more of the equity interests, and one individual with significant responsibility to control the entity.

3.2 Each customer is assigned a risk rating of Low, Medium or High at onboarding.

4. Enhanced Due Diligence (EDD)

4.1 Enhanced due diligence is mandatory for High-risk customers, including politically exposed persons (PEPs), money services businesses, and customers with significant activity in high-risk jurisdictions.

4.2 EDD requires documentation of source of funds and source of wealth, and approval by the BSA/AML Officer before the relationship is opened.

4.3 High-risk customers are re-reviewed every 12 months, Medium-risk customers every 24 months, and Low-risk customers every 36 months.

5. Currency Transaction Reports (CTR)

5.1 A Currency Transaction Report must be filed with FinCEN for each transaction in currency of more than $10,000 conducted by, through or to the institution in a single business day.

5.2 Multiple cash transactions by or on behalf of the same person must be aggregated when they total more than $10,000 in one business day.

5.3 CTRs must be filed within 15 calendar days after the date of the transaction.

6. Structuring

Structuring means breaking up cash transactions to evade CTR reporting, for example making several deposits of $9,500 on consecutive days. Structuring is a federal crime regardless of the source of funds. Staff must never advise customers on how to avoid reporting thresholds. Suspected structuring must be escalated to the Financial Intelligence Unit (FIU) the same day.

7. Suspicious Activity Reports (SAR)

7.1 A SAR must be filed for suspicious transactions aggregating $5,000 or more where a suspect can be identified.

7.2 A SAR must be filed no later than 30 calendar days after the date of initial detection of facts that may constitute a basis for filing. If no suspect is identified, filing may be delayed an additional 30 calendar days, but no more than 60 calendar days after initial detection.

7.3 Continuing activity reviews are performed every 90 days after a SAR is filed.

7.4 SARs and the fact that a SAR was filed are confidential. Disclosing a SAR to the subject of the report ("tipping off") is prohibited.

8. Sanctions Screening

All customers, beneficial owners and wire counterparties are screened against the OFAC Specially Designated Nationals list at onboarding and daily thereafter. Potential matches must be dispositioned within 24 hours.

9. Record Retention and Training

9.1 CIP records, CTRs, SARs and supporting documentation are retained for 5 years.

9.2 All customer-facing employees complete AML training within 30 days of hire and annually thereafter.